protections that are currently in place. In addition, in considering the current business, disclosure, and consent practices, we consider the usefulness of the information that investment advisers provide to investors about the private funds in which those investors invest, including information that may be helpful for deciding whether to invest (or remain invested) in the fund, monitoring an investment in the fund (in relation to fund documents and in relation to other funds), consenting to certain adviser activities, and other purposes. We further consider the effectiveness of current disclosures and consent practices in providing useful information to the investor. For example, fund disclosures and requirements to obtain investor consent can have direct effects on investors by affecting their ability to assess costs and returns and to identify the funds that align with their investment preferences and objectives. Disclosures and consent requirements can also help investors monitor their private fund advisers' conduct, depending in part on the extent to which private funds lack governance mechanisms that would otherwise help check adviser conduct. Disclosures and consent requirements can therefore influence the matches between investor choices of private funds and preferences over private fund terms, investment strategies, and investment outcomes, with more effective disclosures resulting in improved matches.

1. Industry Statistics and Affected Parties

The final quarterly statement, audit, and adviser-led secondary rules will apply to all SEC registered investment advisers ("RIAs") with private fund clients.[1074] The final amendments to the books and records rule will also impose corresponding recordkeeping obligations on these

---

[1074] *See* final rules 206(4)-10, 211(h)(1)-2, 211(h)(2)-2. As discussed above, the final rules that pertain to registered investment advisers apply to all investment advisers registered, or required to be registered, with the Commission. *See supra* section II.

advisers.[1075] The performance requirements of the quarterly statement rule will vary according to whether the RIA determines the fund is a liquid fund, such as an open-end hedge fund, or an illiquid fund, such as a closed-end private equity fund.[1076]

According to Form ADV filing data between October 1, 2021, and September 30, 2022, there were 5,517 RIAs with private fund clients. This includes 230 RIAs to 2554 SAFs.[1077] While Form ADV does not include questions for advisers to SAFs to further specify the type of securitized asset strategy the fund invests in, staff review of fund names in Form ADV indicates that SAFs are comprised of CLOs, CDOs, CBOs, and other structured products that issue asset-backed securities and primarily issue debt to their investors.[1078] We estimate, based on a review of fund names and their advisers in Form ADV, that funds reporting as SAFs advised by RIAs in Form ADV are almost 90% CLOs by assets under management and almost 70% by counts of funds.[1079] As discussed above, advisers will not be subject to the final rules with respect to their relationships with SAFs.[1080]

The final prohibited activity and preferential treatment rules will apply to all advisers to private funds, regardless of whether the advisers are registered with, required to be registered with, or reporting as exempt reporting advisers ("ERAs") to the Commission or one or more State securities commissioners or are otherwise not required to register. ERAs generally rely on

---

1075 *See* final amended rules 204-2(a)(20) through (23).

1076 *See* final rule 211(h)(1)-2(d).

1077 Of these 230 RIAs to SAFs, 68 RIAs with combined SAF assets under management of approximately $166 billion only advise SAFs, and 162 RIAs with combined SAF assets under management of approximately $842 billion also manage at least one non-SAF private fund.

1078 *See* Form ADV data between Oct. 1, 2021 and Sept. 30, 2022.

1079 *See* Form ADV data as of Dec. 31, 2022. *See also infra* section VII.

1080 *See supra* section II.A.

two possible exemptions to forgo registration: (1) an exemption for advisers that solely manage private funds and have less than $150 million regulatory assets under management in the United States, and (2) investment advisers that solely advise venture capital funds.[1081] To qualify as a venture capital fund, a fund must represent itself as pursuing a venture capital strategy, meet certain leverage limitations, prohibit redemptions by investors except in extraordinary circumstances, and have at least 80% of a fund's investments be direct equity investments into private companies.[1082]

The final amendments to the books and records rule will also impose corresponding recordkeeping obligations on private fund advisers if they are registered or required to be registered with the Commission.[1083] Based on Form ADV filing data between October 1, 2021, and September 30, 2022, this will include 5,517 advisers to private funds.[1084]

The final amendments to the compliance rule will affect all RIAs, regardless of whether they have private fund clients. According to Form ADV filing data between October 1, 2021, and September 30, 2022, there were 15,330 RIAs, across both those who did and did not have private fund clients.

The parties affected by the rules and amendments will include private fund advisers, advisers to other client types (with respect to the amendments to the compliance rule), private funds, private fund investors, certain other pooled investment vehicles and clients advised by private fund advisers and their related persons, accountants providing audits under the final audit rule, and others to whom those affected parties will turn for assistance in responding to the rules

---

1081 *See supra* footnote 123

1082 *Id*.

1083 *See* final amended rules 204-2I(1), 204-2(a)(21), 204-2(a)(23), and 204-2(a)(7)(v).

1084 *See infra* footnote 1845 (with accompanying text).

and amendments. Private fund investors are generally institutional investors (including, for example, retirement plans, trusts, endowments, sovereign wealth funds, and insurance companies), as well as high net worth individuals. In addition, the parties affected by these rules could include private fund portfolio investments, such as portfolio companies.

The relationships between the affected parties are governed in part by current rules under the Advisers Act, as discussed in Section V.B.3. In addition, relationships between funds and investors generally depend on fund governance.[1085] Private funds typically lack fully independent governance mechanisms, such as an independent board of directors, that would help monitor and govern private fund adviser conduct and check possible overreaching. Although some private funds may have LPACs or boards of directors, these types of bodies may not have sufficient independence, authority, or accountability to oversee and consent to these conflicts or other harmful practices as they may not have sufficient access, information, or authority to perform a broad oversight role, and they do not have a fiduciary obligation to private fund investors.[1086] As a result, to the extent the adviser has a potential conflict of interest, these bodies may not be positioned to negotiate for full and fair disclosure, or may not be positioned to provide informed consent to the adviser's potential conflicts, or may not be positioned to negotiate with the adviser to eliminate or reduce conflicts.

Similarly, relationships between advisers, funds, and investors may rely on investor consent to govern fund and adviser behavior. For example, one private equity fund document

---

[1085] *See, e.g.*, Lucian Bebchuk, Alma Cohen & Scott Hirst, *The Agency Problems of Institutional Investors*, J. ECON. PERSPECTIVES (2017); *see also* John Morley, *The Separation of Funds and Managers: A Theory of Investment Fund Structure and Regulation*, 123 YALE L. J. 1231 (2014); Paul G. Mahoney, *Manager-Investor Conflicts in Mutual Funds*, 18 J. ECON. PERSPECTIVES 161 (2004).

[1086] *See supra* section II.E.

template uses investor consent as a prerequisite for revising fund documents.[1087] Some provisions may require an individual investor's consent, such as the fund documents designating that investor an "ERISA Partner," other provisions may require majority investor consent, such as changing the fund's closing date, and still further provisions may require consent of 75% or 90% of investors in interest, with interest typically excluding the interests of the adviser and its related persons, and with other certain limitations.[1088] For example, modifying fund documents to change the fund's investment objectives may require consent from 90% of investors in interest.[1089] Hedge fund advisers may also rely on consent arrangements with respect to their hedge funds, with some activities requiring positive consent, some activities requiring negative consent, and some activities such as changing an auditor only requiring notice to investors.

However, the interests of one or more private fund investors may not represent the interests of, or may otherwise conflict with the interests of, other investors in the private fund due to business or personal relationships or other private fund investments, among other factors. To the extent investors are afforded governance or similar rights, such as LPAC representation, certain fund agreements permit such investors to exercise their rights in a manner that places their interests ahead of the private fund or the investors as a whole. For example, certain fund agreements state that, subject to applicable law, LPAC members owe no duties to the private fund or to any of the other investors in the private fund and are not obligated to act in the interests of the private fund or the other investors as a whole.[1090] These limitations may hinder

---

1087 *See, e.g.*, *The ILPA Model Limited Partnership Agreement (Whole-of-Fund Waterfall)*, ILPA, July 2020, *available at* https://ilpa.org/wp-content/uploads/2020/07/ILPA-Model-Limited-Partnership-Agreement-WOF.pdf.

1088 *Id*.

1089 *Id*.

1090 LPACs may not have the necessary independence, authority, or accountability to oversee and consent to certain conflicts or other harmful practices.

the ability for LPAC oversight, including LPAC consent, to achieve the same benefits as investor consent.

Some commenters further stated that relationships between the affected parties are governed in part by reputational mechanisms and active monitoring directly by investors. For example, one commenter stated that preferential terms offered to certain investors provide flexibility for the adviser, but that if the adviser "abuses the flexibility in some way (for example, by providing some benefit to a preferred client), it imposes a reputational cost for the adviser and adversely affects the adviser's future fundraising efforts."[1091] Another commenter stated that "larger investors have strong incentives to actively monitor and communicate with their investment manager," and that "this type of fund governance benefits all investors."[1092] As a closely related matter, some commenters stated that larger investors negotiate for liquidity protections or other investor-favorable protections that, if adopted by the adviser, benefit all investors in the fund.[1093] However, no commenter made this argument with respect to preferential treatment secured by larger investors. That is, while larger investors' monitoring and negotiations for certain protections may benefit all investors, the preferential terms secured by larger investors can be to the detriment of smaller investors with fewer resources to bargain with advisers.[1094] Lastly, while commenters stated that the Commission should consider consent requirements instead of certain of the proposed rules,[1095] commenters did not generally discuss

---

1091 AIC Comment Letter I, Appendix 1.

1092 MFA Comment Letter I, Appendix A.

1093 *See, e.g.*, Ropes & Gray Comment Letter.

1094 *See supra* section II.G; *see also infra* sections VI.C.2, VI.D.4.

1095 *See, e.g.*, BVCA Comment Letter; MFA Comment Letter I; AIMA/ACC Comment Letter.

the prevalence of consent requirements today with respect to the activities considered in the final rules.

As discussed above, SAFs are special purpose vehicles or other entities that securitize assets by pooling and converting them into securities that are offered and sold in the capital markets.[1096] These vehicles primarily issue debt, structured as notes and issued in different tranches to investors, and paid in accordance with a waterfall established by the fund's initial indenture agreement. The residual profits from the fund after fees, expenses, and payments to debt tranches accrue to an equity tranche of the fund. Equity tranches are typically only a small portion of the CLO, on the order of 10% of initial capital raised to purchase the CLO loan portfolio.[1097] However, the equity tranche of a CLO differs from typical equity interests in other private funds, in particular with respect to the composition of investors in the equity tranche. For example, based on industry data, no pension funds invest in the equity tranches of CLOs (and pension funds are only a *de minimis* portion of the most senior debt tranches of CLOs).[1098] One commenter stated, consistent with industry reports, that the most common equity investors are hedge funds and structured credit funds.[1099] Investors in the equity tranche also typically include the adviser and its related persons. Moreover, as commenters stated, most third party investors in CLOs are Qualified Institutional Buyers ("QIBs"), each of which is generally an entity that

---

1096 *See supra* section II.A.

1097 *See* LSTA Comment Letter; SFA Comment Letter I; SIFMA-AMG Comment Letter I; TIAA Comment Letter; *see also* ARES MGMT. CORP., UNDERSTANDING INVESTMENTS IN COLLATERALIZED LOAN OBLIGATIONS ("CLOS") (2020), *available at* https://www.aresmgmt.com/sites/default/files/2020-02/Understanding-Investments-in-Collateralized-Loan-ObligationsvF.pdf (last visited June 26, 2023); *see also supra* section II.A.

1098 *Id*.

1099 LSTA Comment Letter.

owns and invests on a discretionary basis at least $100 million in securities of issuers that are not affiliated with the entity, and are thus typically among the larger private fund investors.[1100]

Some commenters stated that the governance structure of CLOs and other SAFs differ from other types of funds.[1101] One commenter stated, for example, that the structure of a CLO is governed by its indenture, which will describe the appointment and role of a trustee that represents the interests of the CLO investors, and a collateral administrator, both of whom are independent of the investment adviser.[1102] The trustee, along with a similarly unrelated collateral administrator, will maintain custody of the portfolio's assets, remit payments to investors, approve trades, generate reports for investors, and act as a representative of the investors in unusual events such as defaults or accelerations.[1103] The CLO will also appoint an independent CPA to perform specific procedures so the user of the results of the agreed upon procedures report can make their own determination about whether the fund follows procedures that are designed to ensure that the CLO is properly allocating cash flows, meeting the obligations in the indenture, and providing accurate information to investors.[1104] We understand that certain core characteristics of CLOs are generally shared across all SAFs: namely, that they are vehicles that issue asset-backed securities collateralized by an underlying pool of assets and that primarily issue debt.[1105] One commenter generally specified that these features are common to all asset-

---

1100 *See* LSTA Comment Letter; SFA Comment Letter I; SIFMA-AMG Comment Letter I; TIAA Comment Letter.

1101 *See supra* section II.A.

1102 LSTA Comment Letter.

1103 *Id*.

1104 *Id*.

1105 *See supra* section II.A.

backed securitization vehicles, and so based on our definition we understand these features to be common to all SAFs.[1106]

Based on Form ADV filing data between October 1, 2021, and September 30, 2022, 5,517 RIAs and 5,381 ERAs reported that they are advisers to private funds.[1107] Based on Form ADV data, hedge funds and private equity funds are the most frequently reported private funds among RIAs, followed by real estate and venture capital funds, as shown in Figures 1A and 1B. This pattern also holds for the number of advisers to each of these types of funds. In comparison to RIAs, ERAs have lower assets under management and are more frequently advisers to venture capital (VC) funds, followed by advisers to private equity funds and hedge funds, with advisers to real estate funds more uncommon. However, as some commenters stated, some advisers to venture capital funds may also be RIAs.[1108] In particular, some advisers to funds that hold themselves out as venture capital funds may not want to limit their capital allocation outside of direct equity stakes in private companies to 20% of their portfolio, and so may register to be able to hold a more diversified portfolio.[1109] Based on Form ADV filing data between October 1, 2021, and September 30, 2022, RIAs to venture capital funds who exceed this 20% threshold may account for as much as $539.1 billion in gross assets.

Figure 1A:

Private Funds Reported by RIAs

Registered Investment Advisers

[1106] *See* SFA Comment Letter I; SFA Comment Letter II.

[1107] Form ADV, Item 5.F.2. and Item 12.A.

[1108] *See, e.g.*, Andreessen Comment Letter; NVCA Comment Letter. In general, Figures 1A and 1B illustrate that advisers often advise multiple different types of funds, as the sum of advisers to each type of fund exceeds the total number of advisers.

[1109] *Id. See also, e.g.*, David Horowitz, *Why VC Firms Are Registering as Investment Advisers*, MEDIUM.COM (Sept. 23, 2019), *available at* https://medium.com/touchdownvc/why-vc-firms-are-registering-as-investment-advisers-ea5041bda28d (discussing why Andreessen Horowitz, General Catalyst, Foundry Group, and Touchdown Ventures, among other venture capitalists, have registered as RIAs).

	Private funds	Feeder funds	Gross assets (billions)	Advisers to Private Funds
Any private funds	51,767	13,222	21,120.70	5,517
Hedge funds	12,442	6,815	9,728.60	2,632
Private equity funds	22,709	3,910	6,542.10	2,106
Real estate funds	4,717	976	1,017	605
Venture capital funds	3,056	199	539.1	368
Securitized asset funds	2,554	85	1,008.40	230
Liquidity funds	88	9	305.5	47
Other private funds	6,201	1,218	1,980.10	1,113

Source: Form ADV submissions filed between Oct. 1, 2021, and Sept. 30, 2022. Funds that are listed by both registered investment advisers and SEC-exempt reporting advisers are counted under both categories separately. Gross assets include uncalled capital commitments on Form ADV.

Figure 1B:

Private Funds Reported by ERAs

	Exempt Reporting Advisers			
	Private funds	Feeder funds	Gross assets (billions)	Advisers to Private Funds
Any private funds	31,129	2,667	5,199.40	5,381
Hedge funds	2,060	1,223	1,445.50	1,205
Private equity funds	6,325	702	1,657.50	1,457
Real estate funds	849	180	374.1	242
Venture capital funds	20,627	351	1,206.10	1,994
Securitized asset funds	101	-	56.3	20
Liquidity funds	16	-	129.3	5
Other private funds	1,151	201	330.6	350

Source: Form ADV submissions filed between Oct. 1, 2021, and Sept. 30, 2022. Funds that are listed by both registered investment advisers and SEC-exempt reporting advisers are counted under both categories separately. Gross assets include uncalled capital commitments on Form ADV.

Also based on Form ADV data, the market for private fund investing has grown dramatically over the past five years. For example, the assets under management of private equity funds reported by RIAs on Form ADV during this period (from Oct. 1, 2017 to Sept. 30, 2022) grew from $2.9 trillion to $6.5 trillion, or by 124%. The assets under management of hedge funds